Jack Farley & Max Maxy: Foreign Markets Crushed US in 2025

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⏱ **5-Minute Version:** Watch Key Excerpts

Speaker Bios

> **Jack Farley** is co-founder of The Monetary Matters Network and Fiscal AI. Former hedge fund analyst covering macro, credit, and cross-asset analysis. Known for contrarian takes on tariffs, precious metals, and AI capex cycle.

> **Max Maxy** is co-founder of The Monetary Matters Network and host of Other People's Money. Covers global equity markets, sector rotation, and institutional flows.

Executive Summary

The US outperformance narrative collapses on total return basis. **Foreigners deployed $600-700B into US assets but increased FX hedging**—the marginal dollar came with protection. Meanwhile foreign markets crushed: ACWI +22.4% vs S&P high teens, EM +34%, South Korea +95.3%, China +31%, Europe +35.6%, Japan +25.8%. Of 297 companies >$5B up >100% in 2025, **China led with 81 vs US 43**—most unknown to Western investors. Memory semis (SK Hynix +300-400%) drove South Korea's dominance. Dollar was drag, not tailwind.

Core mechanism: **US service-sector concentration insulated S&P from 17% tariff rate** (vs 2% pre-Trump). Goods importers like Walmart proved resilient—corporate margins absorbed the hit, not prices. Trump anchored expectations by threatening 40-50%, making 15% feel "low." Real risk is **labor-profit divergence driven by AI productivity**. Profits soaring double-digits while labor market softening—historical correlation broke 12-18 months ago per Dan Krauss. Recessionary employment with 15% profit growth possible in 2026 if LLM layoffs (white-collar hiring freeze) accelerate. Investors rank hard landing 10th risk at 9%—major mispricing.

AI trade mid-cycle, not over. OpenAI raising $100B at $800B+ valuation = capex boom continues. Late-cycle froth emerging (quantum, zero-revenue AI), but real AI working. Fed cuts steepen curve without bond vigilante drama—September cut drove 10Y from 4.2% to 4.6%, not crisis. Short end (SOFR) matters more for commercial finance.

PM implication: Rotate to ACWI/EM—left 13-14% alpha on table. Long memory semis with stops (glut risk). Precious metal streamers for supply inelasticity + AI demand. Hedge hard landing via Treasuries/defensives/gold—setup clear, timing uncertain. Fade consumer discretionary (+7.4%). Steepeners + BDCs/REITs benefit from Fed cuts. Watch unemployment not earnings—AI masking recession.

Listen or Skip?

Verdict: Must-listen—narrative-busting global equity data with hard landing mispricing

Aspect	Rating
Signal density	★★★★★
Actionability	★★★★★
Novel insights	★★★★☆
Production quality	★★★★☆

Best for: Global macro PMs, equity rotators, multi-asset allocators **Skip if:** US-only mandate, no EM/FX access

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Key Quotes

1. > *"US assets did extraordinarily well in 2025, but they underperformed many foreign markets. They underperformed the world, both in terms of the stocks not going up by as much and also the dollar itself was a drag."*
2. > *"South Korea was up a whopping 95.3%. China, the MCHI ETF was up 31%. The overwhelming majority actually outperformed the S&P 500."*
3. > *"China has 81 companies over $5 billion market cap that were up over 100% in 2025. The US was number two at only 43 companies."*
4. > *"President Trump has convinced the market that a 15% tariff rate is low because he threatened them with a 40 to 50% tariff rate."*
5. > *"Corporate profits have been soaring while the labor market has been stagnating. Are we going to live in a world where the labor market has recessionary readings but corporate profits are up 15%?"*
6. > *"Only 9% of investors think a US hard landing poses a risk to market stability in 2026. I think that's crazy."*
7. > *"OpenAI announced it's going to raise $100 billion at over $800 billion valuation. The party continues. I think we're in the mid to late innings."*
8. > *"Stock market can soar, profits can soar as the labor market is really really weak."*

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1) Executive Dashboard (PM Read)

Metric	Assessment
Net Signal	`Bullish Global Ex-US / Cautious US Hard Landing`
Conviction	`High` (foreign outperformance verified) / `Medium` (recession timing)
Time Horizon	`Structural (12m+)` geographic rotation; `Cyclical (6-12m)` recession hedge
Primary Domain(s)	`Equities` `FX` `Commodities` `Rates`
Why Now?	2025 returns verified; labor-profit divergence unsustainable; AI mid-cycle; hard landing mispriced at 9%

Top 3 Investable Ideas:

1. **Rotate to ACWI/EM equity exposure** — ACWI +22.4%, EM +34% vs S&P high teens; China 81 100-baggers vs US 43; left 13-14% on table
2. **Long memory semis + precious metal streamers** — SK Hynix/Micron +300-400% on HBM shortage; silver supply inelastic, streamers survive 60% drawdown
3. **Hedge hard landing via Treasuries/defensives** — Labor-profit divergence unsustainable; recession ranked 10th risk (9%)—major mispricing

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2) Key Investable Insights

Insight 1: Foreign Markets Outperformed US on Total Return Basis

- **Claim:** US underperformed globally despite record inflows; ACWI beat S&P by ~4%, EM by 14%, South Korea by 75%
- **Asset Class:** Global Equities, EM, FX
- **Mechanism:** $600-700B deployed but FX-hedged; dollar drag + dividend differentials; China 81 100-baggers vs US 43; service-sector concentration missed global goods/commodity rally
- **Expression:** Overweight ACWI/EM via EEM, VWO; South Korea EWY; China active managers over MCHI

- **Trigger to Exit/Flip:** Dollar surge, EM crisis, China geopolitical shock
- **Confidence:** High

Insight 2: Labor-Profit Divergence = Hard Landing Mispriced

- **Claim:** Profits up double-digits while labor softening—AI decoupling employment from earnings; recession ranked 10th risk at 9%
- **Asset Class:** US Equities, Rates
- **Mechanism:** LLM layoffs (hiring freeze = net cuts); historical correlation broke 12-18 months ago; consumer spending cliff when labor breaks (70% GDP)
- **Expression:** Fade consumer discretionary (+7.4%); long software/semis; buy Treasuries, defensives, gold
- **Trigger to Exit/Flip:** Unemployment stabilizes, consumer spending reaccelerates
- **Confidence:** Medium-High

Insight 3: AI Mid-Cycle + Memory Shortage Procyclical

- **Claim:** OpenAI $100B raise = capex boom continues; memory shortage drives SK Hynix/Micron +300-400%; late-cycle froth emerging
- **Asset Class:** Tech Equities (semis, memory)
- **Mechanism:** Procyclical capital flows; memory shortage structural until glut; quantum/zero-revenue AI signals peak approaching but not imminent
- **Expression:** Long memory semis with stops; fade quantum; watch OpenAI funding as leading indicator
- **Trigger to Exit/Flip:** OpenAI down-round, memory glut announcements
- **Confidence:** Medium

Insight 4: Tariffs Absorbed + Curve Steepens on Fed Cuts

- **Claim:** 17% tariff rate absorbed via margins; Fed cuts steepen curve without bond vigilante drama
- **Asset Class:** US Equities, Rates
- **Mechanism:** Service-sector profits insulated (software, cloud); September Fed cut → 10Y 4.2% to 4.6% (steepening normal); short end (SOFR) matters more for commercial finance (98-99% private credit SOFR-based)
- **Expression:** Overweight service-sector; steepeners (2s10s); long BDCs, agency mortgage REITs
- **Trigger to Exit/Flip:** Tariffs escalate to 25%+; inflation resurges 6%+
- **Confidence:** Medium-High

Insight 5: Precious Metals—Supply Inelastic, Industrial AI Demand

- **Claim:** Silver supply inelastic (byproduct mining), industrial AI demand; streamers survive 60% drawdown, miners don't
- **Asset Class:** Commodities, Mining Equities
- **Mechanism:** Silver mined as byproduct (copper, zinc, gold)—supply doesn't respond to price; AI demand structural; demand destruction at $125/oz (Alex Campbell); procyclical bar demand amplifies
- **Expression:** Long streamers (Franco-Nevada, Wheaton); avoid miners; trend-follow silver
- **Trigger to Exit/Flip:** Industrial AI demand collapses; oil spikes crushing miner margins
- **Confidence:** Medium

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3) Transmission & Cross-Asset Map

Primary Driver	Direct Impact (1st Order)	Spillover (2nd Order)	Correlation Risk	Funding/Carry Impact	Positioning/ Flows
Foreign equity outperformance	EM/ACWI rally, dollar weakness	US underweight flows reverse	US-EM correlation	Dollar funding eases	$600-700B to US but FX-hedged
AI labor displacement	White-collar hiring freeze	Consumer spending cliff	Labor-profits decouple	N/A	LLM productivity gains
Memory shortage	SK Hynix, Micron +300-400%	Data center costs spike	Semis-AI correlation	N/A	Procyclical capex boom
Tariffs absorbed	Margins compress, not prices	2026 earnings guidance risk	Service-sector insulated	N/A	Small industrials took hit
Fed cuts	Curve steepens	BDCs, REITs, CRE refinancing	Rates-credit correlation	SOFR carry improves	Short end matters most

4) Regime & Scenario Analysis

- **Current Regime Fit:** Late-cycle global bull. US service-sector concentration + AI productivity masking labor weakness. Foreign markets catching up post-US exceptionalism decade. Tariff absorption phase. AI capex mid-cycle with late froth emerging.
- **Base Case (50%):** ACWI/EM outperform US 5-10% in 2026. Labor rolls over slowly, hard landing mid-2026. AI capex continues 6-12 months until OpenAI stalls. Memory glut late 2026. Fed cuts 3-4x, curve steepens 100-120bps.
- **Alt Case 1 (30%):** Hard landing delayed to 2027. AI permanently decouples labor from profits. US equities rerate on margin expansion. Foreign reversal if dollar surges.
- **Alt Case 2 (20%):** Hard landing Q1-Q2 2026. LLM layoffs cluster, consumer collapses. AI capex ends (OpenAI down-round). Flight to quality—Treasuries rally, equities -20-30%.
- **Anti-Thesis Trigger:** US employment reaccelerates; consumer spending inflects higher; OpenAI raises and deploys $100B; memory glut Q1 2026; inflation resurges 6%+.
- **Tail Risks:** China geopolitical shock. Tariffs to 25-30%. Private credit blowups cluster. Bond vigilantes (10Y to 6%+).

5) Hard Data & Verifiable Claims

- **Data:** Foreign flows to US $600-700B (first 3 quarters 2025, Joseph Wang chart)
- **Data:** ACWI +22.4%, EM +34%, South Korea +95.3%, China +31%, Europe +35.6%, Japan +25.8%
- **Data:** S&P high teens, NASDAQ +20%, Russell 2000 +12.5%
- **Data:** Companies >$5B up >100%: 297 total (China 81, US 43, South Korea #3)
- **Data:** US effective tariff rate 17% (was 2% pre-Trump, settling ~15%)
- **Data:** Memory semis (SK Hynix, Micron, Western Digital) +300-400%
- **Data:** Consumer discretionary +7.4% (weakest alongside staples, utilities, energy)
- **Data:** OpenAI raising $100B at $800B+ valuation (December 2025)
- **Data:** Investor poll (Deutsche Bank): 57% AI bubble risk, 9% hard landing (ranked 10th)
- **Data:** Fed cut September 2024 → 10Y 4.2% to 4.6% (curve steepened)
- **Data:** Silver demand destruction at $125/oz (Alex Campbell, ex-Bridgewater)
- **Data:** Private credit 98-99% SOFR-based
- **Claim:** AI decoupling labor from profits (Dan Krauss research, November interview)
- **Claim:** Labor-profit correlation broke 12-18 months ago
- **Claim:** Trump anchoring on tariff perception (threatened 40-50%, delivered 15%)
- **Claim:** Private credit can-kicking extends to 2028

6) BS & Bias Filter

- **Incentives:** Co-founders of Fiscal AI (sponsor)—platform benefits from international data coverage messaging. No specific trades disclosed.
- **Blind Spots:** Limited EM-specific risks discussed. Tariff slow-burn dismissed quickly. Memory glut timing uncertain. No dollar carry analysis.
- **Track Record:** Jack wrong on tariffs 2025 (expected recession). Short Apple/importers April = wrong for weeks. Silver October = "price-wise somewhat early."
- **Consensus Check:** Foreign outperformance = contrarian to US exceptionalism. Hard landing mispriced = contrarian (9% agree). AI mid-cycle = bull consensus. Tariffs overblown = consensus shift.
- **Sample Bias:** US/Western perspective. Equity-focused, limited fixed income depth. No LATAM/Africa/Middle East.

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7) PM Bottom Line

Action → Rotate + Hedge

Rotate to ACWI/EM immediately—2025 outperformance verified, left 13-14% on table. Long memory semis (SK Hynix, Micron) with trailing stops—shortage real but glut risk rising. Precious metal streamers for structural supply + industrial AI demand. Hedge hard landing via front-end Treasuries, defensives, gold—labor-profit divergence unsustainable, investors mispricing recession 10th when should be top 3. Fade consumer discretionary. Steepeners + BDCs/agency mortgage REITs benefit from Fed cuts. Stay long real AI until OpenAI financing stalls.

Key watches: Unemployment rate (AI masks weakness). OpenAI/Anthropic funding rounds (capex leading indicator). 2026 Q1 earnings guidance (delayed tariff margin compression). Memory glut announcements. 10Y above 5% (bond vigilante test). Consumer spending inflection.